SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 10

Marketing Mix: Price

Price is the only element of the marketing mix that produces revenue; the others are costs. This week covers the six steps of setting price, the three major strategies (customer value-based, cost-based, competition-based) and cost-based calculations: fixed and variable costs, average cost curves and the experience curve, cost-plus/markup, and break-even and target-return pricing. Then pricing strategies for the product mix (product line, optional, captive, by-product, bundle), for new products (skimming vs penetration), and seven price-adjustment strategies (discounts and allowances, segmented, psychological, promotional, geographical, dynamic, international). The last part covers the internal and external factors that affect price (including market types and price elasticity), initiating and responding to price changes, and how to set a marketing budget (5–10% rule, by industry, affordable, competitive parity, objective and task).

Material

1 What price is, and the six steps to set it

Price is the amount of money charged for a product or service. More broadly, it is *the sum of the values customers exchange* for the benefits of having or using the product. Price determines market share and profitability, and it is the only mix element that **produces revenue**.

A sensible price sits between two limits: **product cost** (the floor; below it there's no profit) and **customer perceptions of value** (the ceiling; above it there's no demand). In between, competitors' strategies and other internal/external factors shape the price.

1 · Set the pricing objective → 2 · Determine demand → 3 · Estimate cost → 4 · Analyse competitors → 5 · Select a pricing method

→ 6 · Select the final price

Major strategy	Starting point	Core idea
Customer value-based	Buyers' perceived value	Price is set from the value buyers perceive, not the seller's cost. Price is considered with the other mix elements *before* the marketing programme is set.
Cost-based	Product cost	Costs of producing, distributing and selling, plus a fair return for effort and risk.
Competition-based	Competitors' prices and strategies	Price follows competitors' strategies, costs, prices and offers.

Cost-based (inside out)

Product → cost → price → value → customers. Risk: the price may be too high for the perceived value, or too low and profit is lost.

vs

Value-based (outside in)

Customers → value → price → cost → product. Start from perceived value, set a target price, then design the product and costs to hit it.

2 Customer value-based pricing: good-value and value-added

Good-value pricing

Offering just the right combination of quality and good service at a fair price. Two forms:
Everyday low pricing (EDLP): a consistently low price every day, with few or no temporary discounts.
High-low pricing: a higher regular price, but frequent promotions on selected items.

Value-added pricing

Attaching value-added features and services to differentiate the offer and justify a higher price, rather than cutting price to match competitors.
Slide example: Bose creates "better sound through research", an innovative, high-quality listening experience that merits premium prices.

≡ An Indonesian example

A minimarket that keeps staple prices stable is close to EDLP; a supermarket with a weekly promo catalogue uses high-low. A palm-sugar iced coffee at a premium café adds value through ambience and brand, so it sells far above ingredient cost.

3 Cost-based pricing: cost types, cost curves and the experience curve

Cost type	Meaning	Example
Fixed costs (overhead)	Don't vary with production or sales level	Plant rent, management salaries, interest
Variable costs	Vary directly with the level of production	Raw materials, packaging, piece-rate wages
Total costs	Fixed + variable costs at a given production level	

The Lenovo case (cost per unit at different production levels):

1. **Short run (SRAC):** in a plant built for 1,000 tablets/day, cost per tablet is high at low output, then falls up to 1,000 units because fixed costs are spread over more units. Above 1,000, average cost rises again because the plant becomes inefficient: workers wait for machines, machines break down more often, workers get in each other's way.
2. **Long run (LRAC):** if Lenovo believes it can sell 2,000 tablets/day, it should build a larger plant with more efficient machinery and work arrangements; unit cost at 2,000 is lower than at 1,000. A 3,000/day plant is more efficient still. A 4,000/day plant is less efficient because of *diseconomies of scale* (too many workers, paperwork). So 3,000/day is the best size, if demand supports it.

The experience curve (learning curve): average cost falls as cumulative production experience grows. The cycle: cut price → sales rise → experience grows → costs fall → price can be cut again.

! **Drawbacks of an experience-curve strategy**

Ever-lower prices can give the product a cheap image, and a competitor may find a lower-cost technology, wiping out the cost advantage.

4 Cost-plus (markup), break-even and target-return pricing

Cost-plus pricing adds a standard markup to the product's cost.

Benefits	vs	Disadvantage
Sellers are more certain about costs than about demand; if all competitors use it, price competition is minimised; buyers feel it's fair.	vs	Ignores demand and competitors' prices.

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Unit cost = variable cost + (fixed cost ÷ unit sales) · Markup price = unit cost ÷ (1 - markup on sales)
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The slides' example: a toaster maker. Variable cost $10, fixed cost $300,000, expected sales 50,000 units, 20% markup on sales.

1. Unit cost = 10 + 300,000 ÷ 50,000 = 10 + 6 = **$16**
2. Markup price = 16 ÷ (1 – 0.20) = 16 ÷ 0.8 = **$20**
3. Check: profit per unit $4 = 20% of the $20 price (not 20% of cost; 20% on cost would give only $19.20).

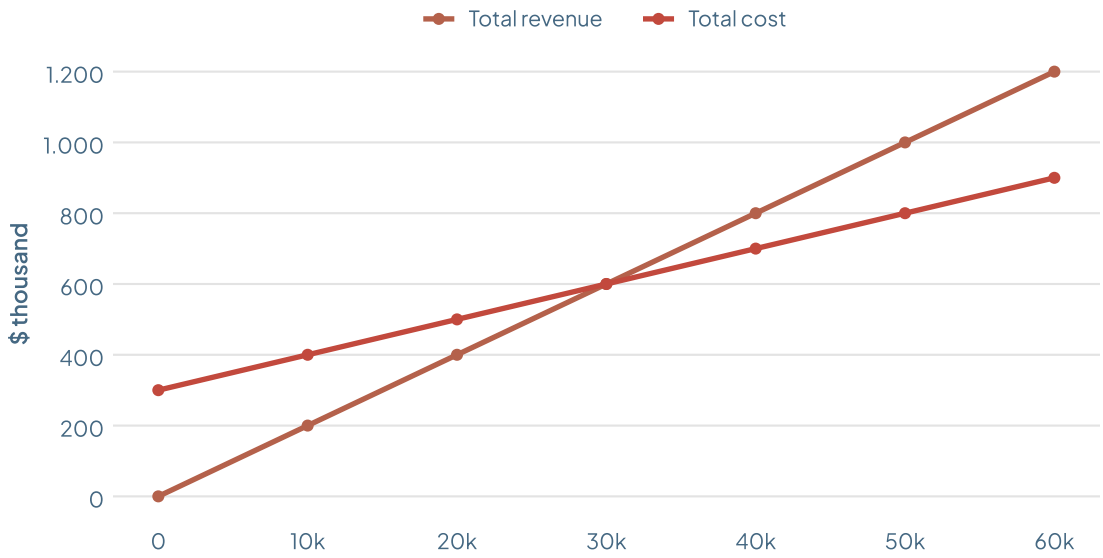
Break-even / target-return pricing: setting price to cover costs (break even) or to earn a target return. The tool is a *break-even chart*: the total-cost line vs the total-revenue line.

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Break-even volume = fixed cost ÷ (price - variable cost) · Target-return price = unit cost + (target ROI × invested capital) ÷ unit sales
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1. At $20: break-even volume = 300,000 ÷ (20 – 10) = **30,000 units**. Below that is a loss, above it a profit.

2 With $1,000,000 invested and a 20% target ROI: target price = 16 + (0.20 × 1,000,000) ÷ 50,000 = 16 + 4 = **$20**. The target is met only if 50,000 units really sell.

Toaster break-even chart (price $20)



The lines cross at 30,000 units ($600k). Left of it is a loss; right of it is a profit. At 50,000 units profit = 1,000 – 800 = $200k (20% ROI on $1m).

! **The limitation**

Break-even and target return assume the sales volume is known. But volume depends on price (elasticity). So check: at this price, will the market really buy that many?

5 Competition-based, product-mix and new-product pricing

Competition-based pricing: assess competitors' pricing with two questions. (1) How does our offer compare with competitors' on customer value? (2) How strong are current competitors and what are their pricing strategies? If our value is higher, price can be higher; if lower, price must be lower or value raised.

Product-mix strategy	Meaning	Example

Product line pricing	Setting price steps between products in a line, based on cost differences, customers' evaluation of features and competitors' prices	Running, walking, basketball, tennis shoes
Optional product pricing	Pricing optional or accessory products sold with the main product	Cars: audio, AC, tyres
Captive product pricing	Pricing products that *must* be used with the main product	A console and its games (cheap console, games carry the profit)
By-product pricing	Pricing by-products to make the main product's price more competitive	Compost from zoo animal waste ("Zoo Doo"); traditional communities that waste nothing
Product bundle pricing	Combining several products and offering the bundle at a reduced price	Fast-food "meal deals"

Market skimming

A high price for a new product, skimming revenue "layer by layer" from segments willing to pay a lot. Fewer but more profitable sales. Fits when: image and quality support a high price, enough buyers want it, small-volume production isn't too costly, and competitors can't enter quickly.

vs

Market penetration

A low price for a new product to attract many buyers and a large share fast. Fits when: the market is very price-sensitive, costs fall as volume grows (experience curve), and a low price keeps competitors out.

The "fits when" conditions are added from Kotler & Armstrong, not from the slides.

6 Seven price-adjustment strategies

Strategy	Meaning

Discounts and allowances	Reducing prices to reward customer responses: volume purchases, early payment, or promoting the product
Segmented pricing	Adjusting prices for differences in customers, products or locations
Psychological pricing	Adjusting prices for psychological effect
Promotional pricing	Temporarily cutting prices to spur short-run sales
Geographical pricing	Adjusting prices for customers' geographic location
Dynamic pricing	Adjusting prices continually to individual customers' characteristics, needs and situations
International pricing	Adjusting prices for international markets

1 · Discounts and allowances

Discounts

A straight price reduction in a stated period or for larger quantities. **Cash discount** (pay promptly, e.g. "2/10 net 30"); **quantity discount** (buy in volume); **functional/trade discount** (for channel members that sell, store, keep records); **seasonal discount** (buy out of season).

Allowances

Promotional money or price reductions for retailers. **Trade-in allowance**: a reduction for turning in an old item when buying a new one. **Promotional allowance**: payments or reductions for dealers that join advertising and sales-support programmes.

2 · Segmented pricing: selling at two or more prices where the difference is *not* based on cost differences.

Form	Example
Customer-segment	Cheaper museum/cinema tickets for students and seniors
Product form	Economy vs business seats on the same flight
Location-based	Theatre seats priced by location, though each costs the same to provide

Time-based	Cheaper daytime (matinee) cinema tickets; resort weekend and seasonal discounts

3 · Psychological pricing: price also "says" something about the product (a high price often signals quality). A **reference price** is the price buyers carry in mind and compare against. It forms from current prices, past prices or the buying situation; sellers can influence it (e.g. showing the "regular price" next to the promo price, or pricing at IDR 99,900).

4 · Promotional pricing: temporarily pricing below list. Forms: discounts and special-event (seasonal) pricing; limited-time offers (flash sales) and cash rebates; low-interest financing, longer warranties, free maintenance.

> ! **Downsides of promotional pricing**
> Used too often it creates *deal-prone* customers who buy only on sale; constant price cuts erode brand value; and marketers can get "addicted" to promotions as a quick fix instead of building long-term brand strategy.

5 · Geographical pricing

Method	How it works
FOB-origin	Goods are placed free on board a carrier; title and responsibility pass to the customer, who pays freight from the factory
Uniform-delivered	The opposite of FOB: all customers pay the same price plus an average freight charge, wherever they are
Zone	In between: two or more zones; one price per zone; the more distant the zone, the higher the price
Basing-point	The seller picks a city as the basing point and charges freight from that city, wherever goods actually ship from
Freight-absorption	The seller absorbs some or all freight to win the business; used for market penetration and to hold competitive markets

6 · Dynamic pricing: prices change constantly by customer and situation (e.g. ride-hailing surge fares, airfares close to departure).

7 · International pricing: the choice is one worldwide price, or adjusting to local market conditions and costs. Drivers: economic conditions, competition, laws

and regulations, the wholesaling and retailing system, consumer perceptions and preferences, the company's marketing objectives, and the cost of selling abroad.

7 Internal and external factors affecting price

Internal factors

Marketing strategy, objectives and mix: price must fit packaging, promotion and distribution; positioning can be price-based. *Target costing* starts from an ideal selling price, then targets costs so the price is met. Non-price positions can also be built.
Organisational considerations: who sets prices? Small firms: top management. Large firms: divisional or product managers. Industries where price is key: dedicated pricing departments.

vs

External factors

Market and demand (market type, demand curve, elasticity).
Economy: boom or recession, inflation, interest rates.
Other parties: resellers' response, government and social concerns.

Market type	Features	Control over price
Pure competition	Many buyers and sellers, uniform product	Almost none; price follows the market
Monopolistic competition	Many sellers, differentiated products	Some, through differentiation and brand
Oligopoly	A few sellers sensitive to each other	Limited; any price move gets a quick response
Pure monopoly	One seller	High, but often regulated

The **demand curve** shows how many units the market will buy at different prices. Price and demand are inversely related: higher price → lower demand.

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Price elasticity of demand = % change in quantity demanded ÷ % change in price
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Inelastic (|E| < 1)

Demand barely changes with a small price change. Raising price tends to raise revenue. Examples: medicine, electricity, fuel in the short run.

vs

Elastic (|E| > 1)

Demand changes a lot with a small price change. Cutting price can raise revenue. Examples: products with many substitutes, luxury goods.

Economy: after a recession consumers become frugal. Responses: cut prices and offer discounts, develop more affordable items, or redefine value propositions.

8 Initiating and responding to price changes

Reasons to cut price

Excess capacity; falling demand; an attempt to dominate the market.

vs

Reasons to raise price

Cost inflation; over-demand.

	Buyers' reading	Competitors' reading
Price increase	The product is more exclusive or better made; or the company is greedy	—
Price cut	A better deal on an exclusive product; or quality has been reduced; the brand image is tarnished	The company wants a bigger share; or it's doing poorly and trying to boost sales; or it wants the whole industry to cut prices to raise total demand

Responding to a competitor's price cut that threatens sales and profit, there are four options:

1 · Cut price

2 · Hold price, raise value

Match the competitor. Risk: lower margins and a price war.

Strengthen perceived value through communication, service or features.

3 · Improve quality and raise price

Move the brand to a higher price-value position.

4 · Launch a fighter brand

Add a low-price item to the line or create a separate low-price brand to fight the competitor without hurting the main brand.

Example

When low-cost airlines arrive, a full-service airline doesn't cut its main brand's fares; it launches its own low-cost subsidiary. That's a fighter brand.

9 The marketing budget

There is no fixed rule for how much to spend on marketing. The slides give several models:

Model	How it works	Note
5% rule (rule of thumb)	Spend 5–10% of revenue on marketing; 5% covers regular activities	To grow share (slow sales, market penetration), some firms spend 7–12%
By industry	Follow the industry average (Deloitte, Gartner research)	Gartner: consumer-products CMOs reported the strongest 2021 budgets, 8.3% of revenue, though down on the prior year
Affordable	Whatever the firm thinks it can afford	Ignores marketing as an investment and its impact on sales; budgets are uncertain, so long-range planning is hard
Competitive parity	Match competitors' spending	Weakness: firms' strategies differ, so their budget needs differ too

Objective and task	Set specific objectives → define the tasks to reach them → cost each task → the sum is the budget	The most logical and cost-effective; the most used

≡ **An objective-and-task example**

Objective: lift brand awareness from 20% to 40% in Greater Jakarta in 6 months. Tasks: digital ads (IDR 1.2bn), activations at 30 campuses (IDR 0.6bn), 20 creator partnerships (IDR 0.4bn), measurement research (IDR 0.2bn). Budget = **IDR 2.4bn**. Compare: with IDR 40bn revenue, the 5% rule gives only IDR 2bn. The gap needs a decision: lower the target, or spend more because this is a penetration phase (7–12%).

Key takeaways

1. Price = the value customers exchange; the only mix element that produces revenue. Floor = cost, ceiling = perceived value.
2. Six steps: objective → demand → cost → competitors → method → final price.
3. Three major strategies: customer value-based, cost-based, competition-based.
4. Good-value (EDLP, high-low) vs value-added (add value so a premium price is justified, e.g. Bose).
5. Fixed + variable = total cost. SRAC/LRAC: there's a most efficient plant size; the experience curve lowers cost with experience.
6. Markup price = unit cost ÷ (1 – markup on sales): toaster $16 ÷ 0.8 = $20. Break-even = FC ÷ (P – VC) = 30,000 units.
7. Product mix: product line, optional, captive, by-product, bundle. New products: skimming (high) vs penetration (low).
8. Seven adjustments: discounts/allowances, segmented, psychological, promotional, geographical (FOB, uniform, zone, basing-point, freight-absorption), dynamic, international.
9. Too many promotions create deal-prone customers and erode the brand.
10. Internal factors (strategy, mix, target costing, organisation) and external factors (market type, demand, elasticity, economy, resellers, government).
11. Responding to a competitor's price cut: cut price, hold price + raise value, raise quality + price, or a fighter brand.
12. Marketing budget: 5–10% of revenue, by industry, affordable, competitive parity, objective and task (the most logical and most used).

Case studies

Case & worked answers

Practice: pricing the launch of a local health drink

An illustrative practice example, not from the slides. A growing small business launches a bottled turmeric-ginger drink. Variable cost IDR 6,000/bottle, fixed cost IDR 240m/year, expected sales 60,000 bottles/year. The main competitor sells at IDR 15,000. A survey shows customers see it as equal to the competitor plus the value of "no added sugar".

1. **Unit cost** = 6,000 + 240,000,000 ÷ 60,000 = 6,000 + 4,000 = IDR 10,000.
2. **Cost-plus** (25% markup on sales) = 10,000 ÷ 0.75 = IDR 13,333 → psychologically rounded to IDR 12,900 or 13,900.
3. **Value/competition-based:** equal value plus a differentiator → room to price at about IDR 15,000–16,000 (value-added).
4. **Break-even** at IDR 15,000 = 240,000,000 ÷ (15,000 – 6,000) = 26,667 bottles, far below the expected 60,000 → a large safety margin.
5. **Elasticity:** a trial shows raising price from 15,000 to 16,500 (+10%) cuts sales 6% (E = –0.6, inelastic) → revenue rises.
6. **Decision:** price IDR 15,900 (value-added, psychological), a 3–bottle bundle at IDR 42,900, and quantity discounts for cafés (functional discount). Avoid frequent promotions so customers don't become deal-prone.

Worked examples

Problem 1 · Easy · **Markup (cost-plus) price**

A toaster plant: variable cost $10, fixed cost $300,000, expected sales 50,000 units. The firm wants a 20% markup on sales. What's the price? What if the 20% markup is on cost?

1. `Unit cost = VC + FC ÷ Q · Markup price = unit cost ÷ (1 - markup)`
2. Unit cost = 10 + 300,000 ÷ 50,000 = $16
3. Markup on sales: 16 ÷ (1 – 0.20) = $20 → profit $4 = 20% of price
4. Markup on cost: 16 × 1.20 = $19.20 → profit $3.20 = 16.7% of price

Answer: $20 (markup on sales); $19.20 if on cost.

Problem 2 Easy **Break-even volume**

At a $20 price, $10 variable cost and $300,000 fixed cost, how many units must sell to break even? What's the profit at 50,000 units?

1. `Break-even volume = FC ÷ (P - VC)`
2. Contribution margin per unit = 20 – 10 = $10
3. Break-even = 300,000 ÷ 10 = 30,000 units
4. Profit at 50,000 = (50,000 – 30,000) × 10 = $200,000

Answer: 30,000 units; $200,000 profit at 50,000 units.

Problem 3 Medium **Target-return pricing**

The same plant invested $1,000,000 and targets a 20% ROI. Unit cost is $16 at 50,000 units. What's the target-return price? What happens if only 40,000 units sell?

1. `Target price = unit cost + (ROI × capital) ÷ unit sales`
2. = 16 + (0.20 × 1,000,000) ÷ 50,000 = 16 + 4 = $20
3. At 40,000 units: revenue = 800,000; cost = 300,000 + 10 × 40,000 = 700,000
4. Profit = $100,000 → ROI only 10%, not 20%

Answer: $20. The target is met only if the assumed volume really sells; at 40,000 units ROI falls to 10%.

Problem 4 Medium **Price elasticity of demand**

A drink's price rises from IDR 15,000 to 16,500, and sales fall from 5,000 to 4,700 bottles a month. Compute the elasticity. Does revenue rise or fall?

1. `E = % change in quantity ÷ % change in price`
2. % price = (16,500 − 15,000) ÷ 15,000 = +10%
3. % quantity = (4,700 − 5,000) ÷ 5,000 = −6%
4. E = −6% ÷ 10% = −0.6 → |E| < 1, inelastic
5. Revenue: before 15,000 × 5,000 = IDR 75m; after 16,500 × 4,700 = IDR 77.55m

Answer: E = −0.6 (inelastic); revenue rises by IDR 2.55m.

Problem 5 Easy **Marketing budget**

Revenue is IDR 40bn. What's the marketing budget under the 5% rule, and the range if the firm is in a penetration phase (7–12%)? If objective-and-task gives IDR 2.4bn, what does that mean?

1. 5% rule: 5% × 40 = IDR 2bn (5–10% range: IDR 2–4bn)
2. Penetration 7–12%: IDR 2.8–4.8bn
3. Objective and task IDR 2.4bn = 6% of revenue
4. Inside the 5–10% range, but below the penetration range

Answer: IDR 2bn (5% rule); IDR 2.8–4.8bn (penetration). IDR 2.4bn = 6%: fine for routine activity, but if the goal is to grab share, recheck the objectives or tasks.

Practice questions

Try answering first. The answer key is below each question.

1. The only marketing-mix element that produces revenue is…

A. Product
B. Promotion
C. Price
D. Place

Answer: C. The other elements are costs.

2. The strategy that uses buyers' perceived value, not the seller's cost, as the key to price is…

A. Cost-plus pricing
B. Customer value-based pricing
C. Competition-based pricing
D. Break-even pricing

Answer: B. Price is set from perceived value, before the marketing programme is set.

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3. A consistently low everyday price with few temporary discounts is…

A. High-low pricing
B. Everyday low pricing (EDLP)
C. Skimming
D. Captive pricing

Answer: B. EDLP and high-low are the two forms of good-value pricing.

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4. Bose adds value through sound research so it merits premium prices. This is…

A. Good-value pricing
B. Value-added pricing
C. Penetration pricing
D. By-product pricing

Answer: B. Adding valued features/services to justify a higher price.

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5. Variable cost $10, fixed cost $300,000, sales 50,000 units. Unit cost…

A. $10
B. $16
C. $20
D. $6

Answer: B. 10 + 300,000 ÷ 50,000 = 10 + 6 = 16.

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6. Unit cost $16, 20% markup on sales. Markup price…

A. $19.20
B. $20
C. $18
D. $16.20

Answer: B. 16 ÷ (1 – 0.2) = 20. $19.20 is a 20% markup on cost, not on sales.

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7. Price $20, variable cost $10, fixed cost $300,000. Break-even volume…

A. 15,000
B. 20,000
C. 30,000
D. 50,000

Answer: C. 300,000 ÷ (20 – 10) = 30,000 units.

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8. The main weakness of cost-plus pricing is…

A. Costs are hard to compute
B. It ignores demand and competitors' prices
C. Buyers feel it's unfair
D. It triggers price wars

Answer: B. Its benefits: certain costs, less price competition, feels fair.

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9. A 4,000/day Lenovo plant is less efficient than 3,000/day because of…

A. The experience curve
B. Diseconomies of scale
C. Lower fixed costs
D. Elastic demand

Answer: B. Too many workers to manage, paperwork slows things down.

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10. A console is sold cheaply and profit comes from the games it requires. This is…

A. Optional product pricing
B. Captive product pricing
C. Product bundle pricing
D. By-product pricing

Answer: B. Optional = non-required accessories (car audio); captive = must be used with the main product.

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11. A high price for a new product to take revenue from segments willing to pay a lot is…

A. Market penetration
B. Market skimming
C. Freight absorption
D. Promotional pricing

Answer: B. Fewer but profitable sales, layer by layer.

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12. A discount for channel members that sell, store and keep records is a…

A. Cash discount
B. Seasonal discount
C. Functional (trade) discount
D. Quantity discount

Answer: C. Cash = pay promptly; quantity = buy in volume; seasonal = buy out of season.

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13. Cheaper daytime cinema tickets are segmented pricing based on…

A. Customer
B. Product form
C. Location
D. Time

Answer: D. Time-based pricing: price varies by season, day or hour.

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14. The price buyers carry in mind and compare against is the…

A. Reference price
B. List price
C. Target price
D. Break-even price

Answer: A. Part of psychological pricing.

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15. A downside of too-frequent promotional pricing is…

A. Customers become deal-prone and brand value erodes
B. Fixed costs rise
C. Elasticity drops to zero
D. Competitors exit

Answer: A. Customers wait for sales; the brand looks cheap.

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16. All customers pay the same price plus an average freight charge, wherever they are. This is…

A. FOB-origin
B. Uniform-delivered
C. Zone
D. Basing-point

Answer: B. The opposite of FOB-origin, where buyers pay freight from the factory.

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17. The seller absorbs freight to win business and penetrate markets. This is…

A. Zone pricing
B. Basing-point pricing
C. Freight-absorption pricing
D. Dynamic pricing

Answer: C. Used for penetration and to hold competitive markets.

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18. Price rises 5% and quantity demanded falls 15%. Demand is…

A. Inelastic (E = −0.33)
B. Elastic (E = −3)
C. Unit elastic (E = −1)
D. Perfectly inelastic

Answer: B. −15% ÷ 5% = −3; |E| > 1 → elastic. Raising price lowers revenue.

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19. Target costing means…

A. Adding a markup to cost
B. Starting from an ideal selling price, then targeting costs to meet it
C. Following competitors' prices
D. Pricing at break-even

Answer: B. An internal factor: price aligned with strategy and positioning.

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20. Creating a separate low-price brand to counter a competitor's price cut is a…

A. Fighter brand
B. Brand extension
C. Co-branding
D. Private label

Answer: A. Fights back without hurting the main brand's price and image.

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21. The most logical and most used marketing-budget model per the slides is…

A. Affordable
B. Competitive parity
C. Objective and task
D. A fixed 5%

Answer: C. Objectives → tasks → cost of each task → the sum is the budget.

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22. The weakness of the affordable method is…

A. Too complex
B. Ignores marketing as an investment and makes budgets uncertain
C. Always too large
D. Blindly follows competitors

Answer: B. Long-range planning becomes hard.

Sources

- P3MD MK3 Week 10 — MM5001 Marketing Management: Marketing Mix — Price
- Kotler, P. & Armstrong, G. — Principles of Marketing, Pricing chapters (supporting)